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Restaurant surcharges remain legal in California after whiplash over ‘junk fees’ law

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California restaurant surcharges will remain legal under a controversial bill Gov. Gavin Newsom signed into law Saturday, a major victory for the state's restaurant industry.

Reaction: Restaurant fees are here to stay in California. Diners are 'extremely disappointed'

Senate Bill 1524, introduced by state Sen. Bill Dodd, D-Napa, takes effect immediately. It was a last-minute response to opposition from restaurants to the state's "junk fees" law, which starting Monday would ban hidden charges including at hotels and ticketed events, and would also have banned additional dining fees.

"With today's signing we can uphold the principle of providing consumers with up-front price transparency without inadvertently harming food service workers or small businesses," Dodd said Saturday in a news release. "This new law will require clear, conspicuous disclosure of any fee, and a description of its purpose, on all advertisements, menus or other displays that contain the price of a food or beverage item. Now we can ensure restaurant customers are not shocked when they get their checks."

The new law is sure to spark outrage from customers who are frustrated by restaurant fees and hoped they would become illegal in California. The legislation allows restaurants, bars, food concessions, grocery stores or grocery delivery services to charge additional fees, such as an automatic service charge, as long as it's "clearly and conspicuously displayed with an explanation of its purpose," on menus, ads or other areas that contain prices, as is current practice for many food businesses.

Restaurants will have a year to ensure the text meets the legal definition of "clear and conspicuous," which is a larger or contrasting font than the surrounding text, or "set off from the surrounding text ... in a manner that clearly calls attention to the language."

Saturday's signing caps off months of back-and-forth confusion over restaurant fees in California. Restaurant owners and workers were originally unsure if SB478 would permit service fees, which many food businesses use to increase wages and cover other costs.

Attorney General Rob Bonta made conflicting public statements about the law's implications for restaurants. In May, Bonta's office eventually issued guidance that all restaurant fees must be folded into menu prices, sparking an opposition effort spearheaded by food industry groups. Unite Here, a California labor union that represents 300,000 hospitality workers, also co-sponsored SB1524. It was co-written by state Sen. Scott Wiener, D-San Francisco, and Assembly Members Jesse Gabriel, D-Encino (Los Angeles County), Cecilia Aguiar-Curry, D-Winters (Yolo County), and Matt Haney, D-San Francisco.

"Restaurants are vital to the fabric of life in California, and they should be able to cover costs as long as they do so transparently," Wiener said Saturday in a news release. "SB 1524 clarifies portions of the law that pose a serious threat to restaurants. The bill strikes the right balance between supporting restaurants and delivering transparency for consumers, and I'm proud to support it."

The bill passed unanimously through the California Assembly and Senate this week.

Local restaurant owners hailed the legislation.

"To be clear, this doesn't feel like a step forward, but it's preventing a huge step backward," said Stella Dennig, co-

owner of Daytrip in Oakland, which uses an automatic 20% service fee instead of tips to sustain higher wages for staff. "This is a big sigh of relief for restaurant workers."

The Golden Gate Restaurant Association, which represents San Francisco restaurants and lobbied for SB1524, said in a statement: "After nine months of stress and uncertainty, we are relieved to have clarity as to the use of service or surcharges on restaurant menus. So many of our members are independent restaurants and rely on these line item charges to provide employee benefits and support pay equity."

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